

Out of Every KSh 100 of Tax, KSh 71.20 Went to Debt

How Kenya's FY 2024/25 ordinary revenue was absorbed by debt service

1. WHERE EVERY KSh 100 OF REVENUE WENT



- Domestic Interest: KSh 32.10 (32.1%)
- External Interest: KSh 8.70 (8.7%)
- Total Principal Repayments: KSh 30.35 (30.4%)
- Remaining for Public Services: KSh 28.84 (28.8%)

2. WHY DID INTEREST SQUEEZE THE BUDGET?

● 13.0% vs 3.9% Average Interest Rate

Domestic debt carried a 13.0% average rate vs 3.9% for external loans (mostly concessional multilateral lending like World Bank).

● Who Holds Kenya's Domestic Debt?

- Commercial Banks: 34.7%
- Pension Funds: 14.1%
- Insurance Companies: 12.6%
- Parastatals: 13.8%
- Other / Retail: 24.8%

Statutory Anchor: Present Value Debt is 63.7% of GDP (8.7% over 55% cap)

Data: National Treasury ADMR FY 2024/25, Tables 4, 6 & 10
Ordinary revenue = KSh 2.420T. Debt service = KSh 1.722T. Figures provisional.